

handed down a contrary decision (in the *Wabash Railway* case)⁹ holding that while the noncumulative provision may work a great hardship on the holder, he has nevertheless agreed thereto when he accepted the issue. This is undoubtedly sound law, but the inherent objections to the noncumulative provision are so great (chiefly because of the opportunity it affords for unfair policies by the directors) that it would seem to be advisable for the legislatures of the several states to put the New Jersey decision into statutory effect by prohibiting the creation of completely noncumulative preferred stocks, requiring them to be made cumulative at least to the extent that the dividend is earned. This result has been attained in a number of individual instances through insertion of appropriate charter provisions.¹⁰

Features of the List of 21 Preferred Issues of Investment Grade. Out of some 440 preferred stocks listed on the New York Stock Exchange in 1932, only 40, or 9%, were noncumulative. Of these, 29 were railroad or street-railway issues and only 11 were industrial issues. The reader will be surprised to note, however, that out of only 21 preferred stocks selling continuously on an investment basis in 1932, no less than four were noncumulative. Other peculiarities are to be found in this favored list, and they may be summarized as follows (see Chap. 14):

1. Both the number of noncumulative issues and the number of preferred stocks preceded by bonds are proportionately higher among the 21 “good” companies than in the Stock Exchange list as a whole.
2. The industry best represented is the *snuff* business, with three companies.

⁹ *Wabash Railway Company et al. v. Barclay et al.*, 280 U.S. 197 (1930), reversing *Barclay v. Wabash Railway*, 30 Fed. (2d) 260 (1929). See discussion in A. A. Berle, Jr., and G. C. Means, *The Modern Corporation and Private Property*, pp. 190–192.

¹⁰ See, for example, the provisions of George A. Fuller Company \$3 Convertible Stock; Aeolian Company 6% Class A Preferred; United States Lines Company Convertible Second Preferred. A trend in the direction of preferred stocks with this type of provision is observable in numerous recent reorganization plans of railroads. See various plans presented in 1936–1938 for Chicago and Eastern Illinois Railroad, Missouri Pacific Railroad, Erie Railroad, St. Louis-San Francisco Railroad. An early example of this type of preferred is that of Pittsburgh, Youngstown and Ashtabula Railway. But here the dividend becomes cumulative only if the full \$7 rate is earned and less has been paid.